ACADEMIC CENTRAL

PRACTICE EXAMINATION

GRADE 8

ECONOMIC AND MANAGEMENT SCIENCES

PRACTICE EXAM 2

MARKS: 100 **TIME: 2 hours**

Covers the Grade 8 year: the economy (taxes and VAT, government spending, the circular flow with government, standard of living, markets, unemployment, public goods), financial literacy (classifying accounts, the accounting equation, the Cash Receipts and Cash Payments Journals of a service business, drawings and loans) and entrepreneurship (partnerships and companies, links between sectors, business functions, the informal sector).

Written by Academic Central for practice, following the CAPS curriculum for Grade 8. It is not a Department of Basic Education examination paper.

INSTRUCTIONS AND INFORMATION

1. This question paper consists of FOUR sections: SECTION A (20), SECTION B: The economy (25), SECTION C: Financial literacy (35) and SECTION D: Entrepreneurship (20).
2. Answer ALL the questions.
3. Number your answers exactly as the questions are numbered.
4. Show ALL calculations. A non-programmable calculator may be used.
5. Use a ruler for journals and tables. Write neatly and legibly.

SECTION A

QUESTION 1: MULTIPLE CHOICE

Choose the correct answer. Write only the letter (A–D) next to the question number, e.g. 1.11 B.

1.1 The national budget is presented in Parliament by the …

A President. B Minister of Finance.
C Governor of the Reserve Bank. D Speaker of Parliament.

1.2 Which of these is an indirect tax?

A Income tax B Company tax C VAT D Estate duty

1.3 Which service is provided mainly by provincial government?

A Defence B Hospitals C Refuse removal D Passports

1.4 Owner's equity increases when the business …

A pays an expense. B earns income.
C repays a loan. D buys equipment for cash.

1.5 When the owner takes money from the business for personal use, owner's equity …

A increases. B decreases. C stays the same. D doubles.

1.6 The source document for cash sales is the …

A cash register roll. B cheque counterfoil.
C deposit slip. D supplier's invoice.

1.7 Fees earned by a service business are recorded in the …

A Cash Payments Journal. B Cash Receipts Journal.
C budget. D order book.

1.8 Which business belongs to the tertiary sector?

A Gold mine B Maize farm C Taxi service D Clothing factory

1.9 The name of a public company in South Africa ends with …

A (Pty) Ltd. B Ltd. C NPC. D CC only.

1.10 The reward (remuneration) for natural resources is …

A rent. B wages. C interest. D profit.

(10)

QUESTION 2: MATCHING COLUMNS

Choose a description from COLUMN B that matches the term in COLUMN A. Write only the letter (A–L) next to the question number, e.g. 2.11 M.

COLUMN A	COLUMN B
2.1 Revenue	A Cash or goods taken by the owner for personal use
2.2 Expenditure	B A person who owns part of a company
2.3 Budget deficit	C The income that the government receives, mainly from taxes
2.4 Capital	D Industries that take raw materials from nature
2.5 Drawings	E When the government plans to spend more than it receives
2.6 Debtor	F A person or business to whom the business owes money
2.7 Creditor	G The money or assets that the owner puts into the business
2.8 Sole trader	H The money that the government spends
2.9 Shareholder	I A business owned by one person
2.10 Primary sector	J A person who owes the business money
	K Businesses that provide services
	L Businesses that manufacture goods

(10)

TOTAL SECTION A: [20]

SECTION B: THE ECONOMY

QUESTION 3

3.1 (a) A bicycle costs R1 200 excluding VAT. Calculate the VAT and the price including VAT. (b) A shirt costs R345 including VAT. Calculate the amount of VAT included in the price. (4)

3.2 Give TWO reasons why citizens must pay taxes. (2)

3.3 Name TWO types of taxes in South Africa, other than income tax and VAT. (2)

3.4 What is the role of the South African Revenue Service (SARS)? (1)

3.5 Explain why the government spends the largest share of its budget on education, health and social development. (2)

3.6 Explain how money flows in the circular flow: (a) from households to the government; (b) from the government to households; (c) from the government to businesses. (3)

3.7 Study the information about two families.

Family	Monthly income	Number of people
The Zondi family	R4 000	6
The Pillay family	R18 000	4

3.7.1 Calculate the monthly income per person for each family. (2)

3.7.2 Which family is likely to have a higher standard of living? Give a reason. (2)

3.8 Give ONE example of a goods market and ONE example of a factor market. (2)

3.9 Give TWO effects of high unemployment on the economy. (2)

3.10 What is a public good? Give TWO examples. (3)

[25]

SECTION C: FINANCIAL LITERACY

QUESTION 4

4.1 Classify each account as an asset, a liability, owner's equity, income or an expense: (a) Equipment; (b) Loan from a bank; (c) Capital; (d) Sales; (e) Wages; (f) Vehicles. (6)

4.2 A business has total assets of R85 000. The owner's equity is R60 000. Calculate the total liabilities. Show the accounting equation. (2)

4.3 The transactions of Bright Sparks Electrical, a service business owned by T. Mabaso, for May 2026 are given below. Draw the Cash Receipts Journal and the Cash Payments Journal, record the transactions and total the journals.

Day	Transaction
1	T. Mabaso deposited R25 000 as capital. Issued receipt 01.
3	Bought tools (equipment) from Tool Depot, R7 400. EFT 01.
6	Received R3 800 for electrical services. Issued receipt 02.
9	Paid rent for the workshop, R4 500. EFT 02.
14	Received R2 200 from a client for repairs. Issued receipt 03.
18	Paid wages, R2 600. EFT 03.
25	Bought wires, plugs and other consumable stores, R1 150. EFT 04.
28	Received a loan of R12 000 from Kwanda Bank. Issued receipt 04.
30	The owner withdrew R1 000 for personal use. EFT 05.

CRJ columns: Doc | Day | Details | Bank | Current income | Sundry accounts (Amount, Details).
CPJ columns: Doc | Day | Name of payee | Bank | Wages | Sundry accounts (Amount, Details).
Kwanda Bank is a made-up bank.

(18)

4.4 Calculate the bank balance at the end of May. (2)

4.5 Explain why the loan from Kwanda Bank is not recorded as income. (2)

4.6 What is the effect of the transaction on 30 May on the accounting equation? (2)

4.7 Name the source document for: (a) money received for services; (b) a payment made by EFT; (c) money deposited into the bank. (3)

[35]

SECTION D: ENTREPRENEURSHIP

QUESTION 5

5.1 Lindiwe runs a laundry business as a sole trader. She wants her sister to join her as a partner.

5.1.1 Give TWO advantages of changing the business into a partnership. (2)

5.1.2 Give TWO things that should be included in a written partnership agreement. (2)

5.1.3 Why should Lindiwe's business be registered with SARS? (1)

5.2 (a) Give TWO differences between a private company and a public company. (b) Explain what is meant by *limited liability*. (4)

5.3 Use the example of a loaf of bread to explain how the primary, secondary and tertiary sectors depend on each other. (3)

5.4 Name the business function responsible for each activity: (a) advertising products; (b) employing new workers; (c) keeping financial records; (d) buying raw materials. (4)

5.5 (a) Give TWO examples of businesses in the informal sector. (b) Give ONE challenge that informal businesses face. (3)

5.6 What is a non-profit company (NPC)? (1)

[20]

TOTAL: 100

END OF QUESTION PAPER